

AI Is Everywhere in Oracle SCM. It Doesn't Have to Be.

Innovation drives sustainability.

AI is here, and it is increasingly embedded across Oracle Fusion Cloud SCM. But "AI everywhere" is not the same as AI that creates value.

The real question is not whether AI should touch your supply chain. It is where AI can solve a meaningful business problem, what needs to be true before it can work, and how you prove the value before scaling it.

That distinction matters. Because switching on an AI capability is easy. Making it useful is not.

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The AI moment — and the uneven adoption

Over the last few years, AI has moved from an emerging technology to a board-level expectation. Supply chain leaders are increasingly being asked the same question: "What is our AI strategy?"

The problem is that the question often comes before another, more important one: "*What problem are we actually trying to solve?*"

Walk into ten companies running Oracle SCM today and you may find very different outcomes beneath the same AI narrative. Some organizations have integrated AI into the daily work of planners — reducing manual effort, accelerating exception resolution, and improving the quality of forecasts. Others have the same Oracle capabilities available to them but continue to work largely as they always have. The technology is there. The adoption is not.

The difference is rarely the software itself. It is usually the combination of business problem, process maturity, data quality, user adoption, and a clear measure of value. That is where the real AI conversation should begin.

Oracle's AI investment is real

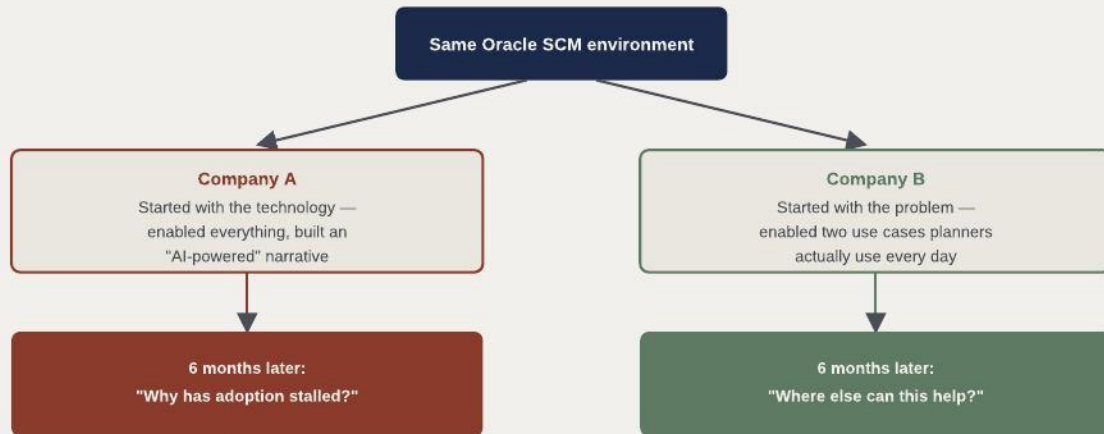
The pressure to explore AI is not without reason. Oracle has continued to embed AI capabilities directly into Fusion Cloud Applications, including supply planning, demand management, order management, and other SCM processes.

Oracle's AI Agent Studio extends that model further by allowing organizations to configure AI agents within Fusion using business-specific rules and workflows. That creates significant possibilities. But greater capability also creates a greater responsibility to choose where — and where not — to apply it. A capability being available does not automatically make it valuable.

Two companies, the same Oracle license

Consider two organizations with broadly similar Oracle SCM environments. Company A has enabled multiple AI capabilities, launched a generative assistant, and built "AI-powered supply chain" into its transformation narrative. Company B has enabled AI for two specific use cases. Planners use those capabilities every day because they solve problems they already experience.

Six months later, the two organizations may be telling very different stories. Company A is asking why adoption has stalled. Company B is asking where else the same approach could create value.



Not a difference in budget or ambition — a difference in the sequence of decisions.

The difference is not necessarily budget, ambition, or technology. It is the sequence of decisions. Company A started with the technology. Company B started with the problem. That distinction shows up repeatedly across Oracle SCM.

A planner's Monday morning

Imagine a supply planner starting Monday with hundreds of planned orders and a long list of exceptions. Late supply. Capacity conflicts. Parameter issues. Potential shortages. The planner's real challenge is not necessarily making decisions — it is finding the few decisions that actually deserve attention.

This is where capabilities such as Oracle Supply Planning's Planning Order Release Assistant can become useful. A planner can establish thresholds around relevant exception types and severity, allowing lower-priority items to be filtered while significant issues are brought forward. Similarly, Order Management's Order Exception Assistant can help identify issues, trace potential causes, and support resolution.

But the value depends on the operating environment. For a planning organization processing hundreds or thousands of exceptions, reducing manual triage can have a measurable impact. For a smaller operation where planners handle a relatively low volume of orders, the same capability may add little value.

THE QUESTION THAT MATTERS

Not "Can Oracle do this?" — but "Is this actually where our people are losing time?"

The forecast that finally made sense

Forecasting is another area where AI can create significant value — provided the foundations are there. Oracle Demand Management uses machine learning and multiple demand signals to help identify patterns across historical demand, seasonality, trends, events, and other relevant factors. Done well, this can move forecasting away from a process driven primarily by manual intervention and intuition.

But there is an important prerequisite: the model cannot compensate for fundamental problems in the data and planning structure. If product hierarchies are inconsistent, location structures are poorly maintained, historical data is unreliable, or planners cannot explain why previous forecasts missed, adding machine learning does not automatically create clarity. It can simply make an existing problem faster to process.

ASK THIS FIRST

Can we explain, in business terms, why our forecast is wrong today? If the answer is no, the first intervention may not be AI — it may be data, process, governance, or planning discipline. And that work is valuable whether AI comes next or not.

The supplier nobody was watching

Supply chain risk rarely stops at the supplier you know. A disruption further upstream can travel through multiple tiers before it becomes visible to your organization. Oracle's multi-tier planning capabilities can help organizations model relationships beyond direct suppliers and identify potential constraints further upstream. AI and agent-based capabilities can add another layer by helping monitor changes such as lead-time deviations, planning parameter issues, and other signals that may otherwise remain unnoticed.

But again, visibility is only as good as the network underneath it. Many organizations maintain detailed information about their direct suppliers because the transactional processes require it — visibility beyond Tier 1 may be much weaker. If the underlying network data does not extend beyond the first tier, an advanced risk capability cannot create visibility that does not exist. It may simply give you a sophisticated view of an incomplete network.

CAVEAT

The tool is not necessarily wrong. The data may simply have nothing useful to show it.

Not everything needs to be called AI

There is another part of the AI conversation that deserves attention: not every intelligent capability needs an AI label. Oracle Global Order Promising, for example, can make sophisticated sourcing and fulfillment decisions across plants, distribution centers, and suppliers. Its value does not depend on whether the capability is described as AI.

In many cases, optimization, rules, analytics, automation, and machine learning can work together — each doing a different job. The objective should not be to maximize the number of AI capabilities in an Oracle environment. The objective should be to create a better supply chain. That distinction is easy to lose when AI becomes the starting point rather than the means.

What doing AI right looks like

Across these use cases, the same discipline keeps emerging.

1

Understand the business

Start with the friction. Where are planners losing time? Where are forecasts consistently missing? Where are exceptions accumulating? Where does manual work prevent people from focusing on higher-value decisions?

2

Fix the process first

AI does not eliminate the need for sound processes. Clean up master data. Resolve unnecessary process complexity. Address broken workflows. Establish ownership and governance — because the business needs it, not simply because AI is coming next.

3

Build the business case

Quantify the opportunity: hours spent today, exceptions processed, the cost of an error, inventory tied up, planner capacity that could be redirected. A business case gives the pilot something objective to measure.

4

Pilot one contained scenario

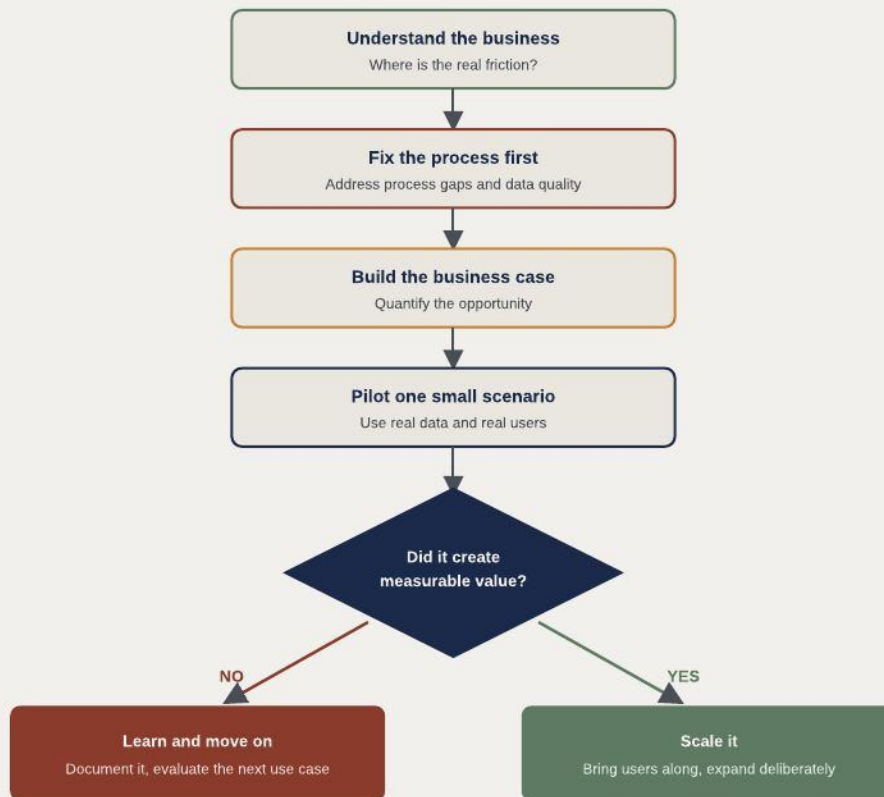
Don't start with an enterprise-wide AI transformation. Choose one meaningful use case, use real data, involve real users, and define the success measures before the pilot begins.

5

Measure the result

The most important question is not "did we implement the capability" — it's "did the business outcome improve." If yes, scale thoughtfully. If no, understand why and move to the next use case. A pilot that tells you where *not* to invest can be valuable information.

A simple AI decision framework



The discipline is simple. The challenge is having the confidence to follow it.

INSU DYNAMICS

How Insu Dynamics approaches AI

We don't start an SCM engagement with an AI roadmap. We start with the business problem. AI has to earn its place in the solution.

COMMON APPROACH

Start with an AI feature because the business wants an "AI story."

Point a model at existing data and hope it improves the outcome.

Assume the business case instead of proving it.

Take a successful concept straight to enterprise scale.

Keep a use case alive because significant effort has already been invested.

THE INSU DYNAMICS APPROACH

Start with the friction — where planners lose time, forecasts miss, or exceptions accumulate.

Address the underlying process and data gaps first.

Quantify the opportunity before investing in a pilot.

Start with one contained scenario and real users.

If it does not clear the agreed success criteria, **say so and move to the next opportunity.**

This is what **innovation drives sustainability** means for us in practice. It means technology that earns a lasting place in the way the business operates. Not AI for the sake of AI. Not another feature switched on because it is available. But the right capability, applied to the right problem, with the right foundations — and a measurable reason to keep it.

AI should not be everywhere. It should be where it matters.